

CRYPTOT

THE POWER 5 STARTER GUIDE

Bitcoin - Ethereum - Cardano - Solana - XRP
Five coins. Their real stories. Zero hype.

BTC

ETH

ADA

SOL

XRP

"Never quit learning."

EDUCATIONAL ONLY - NOT FINANCIAL ADVICE.

This guide teaches history and concepts. It does not tell you what to buy, sell, or hold.

Crypto assets are volatile and risky. Never invest money you cannot afford to lose.

Read this first

This guide exists for one reason: most people meet crypto through noise - price screenshots, influencers, panic headlines - and never learn what the technology actually is or where it came from. That gap is where bad decisions live.

The Power 5 are the five networks CryptoT covers every day: Bitcoin, Ethereum, Cardano, Solana and XRP. They were not picked because of their prices. They were picked because each one represents a different idea about what a blockchain should be - money, a world computer, peer-reviewed infrastructure, raw speed, and global payments.

What this guide is

- A history of each of the five networks, built on documented milestones.
- A plain-language explanation of the ideas behind them - halvings, smart contracts, staking, consensus.
- A complete technical-analysis starter kit: candles, trends, support and resistance, volume, moving averages, RSI, MACD - and the five classic chart patterns, with the real published statistics behind them.
- Worked examples, action checklists and a 90-day learning plan, so the knowledge becomes a skill you can actually use.
- A field manual for protecting yourself: risk, the costliest beginner mistakes, scam red flags, wallet security.

What this guide is not

- Not financial advice. Nothing here is a recommendation to buy, sell or hold anything.
- No price predictions. Anyone who promises you a future price is selling something.
- Not a get-rich program. Crypto has made people poorer faster than it has made anyone rich, usually through leverage and FOMO - both covered in the risk chapter.

THE ONLY RULE OF THIS GUIDE

Learn first. Decide later - or don't decide at all.

Understanding is the product. The market will still be there when you're ready, and it punishes the unprepared on schedule.

How to use it

Read the chapters in order if you're new. Each coin chapter follows the same path: the idea, the story, the milestone timeline, and the facts that matter - including its verified all-time high, because knowing where something has been is the first step to not being fooled by where someone claims it's going. The second half of the guide is the practice field: how markets move, a full technical-analysis basics chapter, step-by-step worked examples, how people get wrecked, the checklists, wallet security - and a 90-day learning plan at the end to make all of it stick.

Crypto in 10 minutes

The blockchain

A blockchain is a shared public record book. Thousands of computers hold identical copies, new pages (blocks) are added in order, and changing an old page would require rewriting every copy at once - which is why the record is trusted without a central referee. Bitcoin's book records payments. Other networks record more: programs, tokens, contracts.

Coins, tokens - and why it matters

A coin is the native asset of its own network: BTC on Bitcoin, ETH on Ethereum, ADA on Cardano. A token lives on someone else's network. Coins pay the network's fees and usually secure it. When someone sells you a brand-new token, the first educational question is simple: which network does it live on, and what does it actually do there?

Wallets and keys - the part nobody can skip

A wallet doesn't hold coins. It holds keys. The public key (your address) receives funds, like an email address you can share. The private key signs transactions - it is the money's only key, and whoever has it has the coins. When you create a personal wallet, you get a seed phrase (usually 12 or 24 words): the master backup of that key. The wallet security chapter of this guide is entirely about not losing it or giving it away.

Exchanges

An exchange is a marketplace where you trade regular money for crypto. It is a business, not a vault: exchanges have been hacked, frozen withdrawals, and gone bankrupt. The community's oldest lesson sums it up: not your keys, not your coins. Small learning amounts can live on a reputable platform; serious amounts belong in a wallet whose keys you control.

Volatility is not a bug

Crypto markets trade 24/7, worldwide, with no closing bell and no circuit breakers. Double-digit moves in a day are ordinary. Every price in this guide is dated for exactly that reason - and the all-time highs in each chapter show how far prices have travelled in both directions.

Why these five?

Thousands of crypto assets exist. Most will not survive. These five have each survived at least one full market winter, built a real network, and proven a distinct idea:

BTC - BITCOIN

The original. Digital money with a supply fixed by code: 21 million, ever. 'Vires in Numeris' - strength in numbers.

ETH - ETHEREUM

The world computer. A programmable blockchain that runs smart contracts - the base layer of DeFi, NFTs and most of Web3. 'Code Is Law.'

ADA - CARDANO

The peer-reviewed chain. Every major upgrade starts as published academic research, then gets built. 'Peer Reviewed.'

SOL - SOLANA

The speed layer. A cryptographic clock - Proof of History - lets the network move at internet pace. 'Proof of History.'

XRP - XRP LEDGER

The payments rail. Built to settle value across borders in 3 to 5 seconds for a fraction of a cent. 'The Standard.'

ONE SENTENCE TO REMEMBER

Bitcoin replaced cash's trust problem. Ethereum replaced the intermediary. Cardano tries to replace guesswork with proof. Solana replaced waiting. XRP replaces the wire transfer.

BTC - Bitcoin

Vires in Numeris - the money with a fixed supply

Bitcoin started as a nine-page PDF. On October 31, 2008, someone using the name Satoshi Nakamoto published 'Bitcoin: A Peer-to-Peer Electronic Cash System' - a design for money that works without a bank, a government, or trust in anyone. On January 3, 2009, the network went live with its first block, the Genesis Block.

The idea is radical in its simplicity: a public ledger, maintained by a global network of computers doing proof-of-work (mining), where new coins are issued on a schedule nobody can change - and the total supply is capped at 21 million. More than 19.8 million already exist. Nobody can print more. That scarcity is not a feature of Bitcoin; as the CryptoT manifesto puts it, limited supply is the point.

In May 2010, a programmer paid 10,000 BTC for two pizzas - the first real-world purchase. Those coins would later be worth hundreds of millions of dollars. The pizzas are a joke the community tells itself, but the lesson is serious: Bitcoin went from experiment, to curiosity, to an asset traded by the largest financial institutions on Earth - and in 2021 it even became legal tender in El Salvador.

The halving - Bitcoin's heartbeat

Roughly every four years, the reward miners receive for adding a block is cut in half. 50 became 25 (2012), then 12.5 (2016), then 6.25 (2020), then 3.125 (April 2024). Each halving slows the creation of new bitcoin, reinforcing the cap. The next halving is expected around April 2028, and the very last bitcoin is expected around the year 2140. No committee votes on this. The code was the promise, and the network enforces it.

BTC - FACTS THAT MATTER

All-time high: \$126,080 on October 6, 2025 (CoinGecko)

Maximum supply: 21,000,000 BTC - over 19.8 million already mined

Launched: January 3, 2009 - Creator: Satoshi Nakamoto (identity unknown)

Security model: proof-of-work mining

October 2026 snapshot: about \$82,500 (Oct 9 close) - roughly 35% below its ATH

TIMELINE - KEY EVENTS

- | | |
|-------------|---|
| 2008 | Bitcoin whitepaper released by Satoshi Nakamoto |
| 2009 | Genesis Block mined; network launched |
| 2010 | First real-world purchase: 10,000 BTC for pizza |
| 2012 | First halving (50 -> 25 BTC) |
| 2016 | Second halving (25 -> 12.5 BTC) |
| 2020 | Third halving (12.5 -> 6.25 BTC); institutional accumulation begins |
| 2021 | Legal tender in El Salvador; corporate treasuries adopt BTC |

- 2024** Fourth halving (6.25 -> 3.125 BTC)
- 2025** Bitcoin fully integrated into global financial markets
- 2026** Record spot ETF inflows; Strategy's treasury reaches 846,000 BTC

ETH - Ethereum

Code Is Law - the world computer

In 2013, a 19-year-old programmer named Vitalik Buterin published a whitepaper asking a bigger question than Bitcoin's: what if a blockchain could run any program, not just payments? Ethereum launched on July 30, 2015, co-founded by Buterin with Gavin Wood, Joseph Lubin, Charles Hoskinson and others. Its native asset, ether (ETH), pays the network's fees - and since 2022, secures it through staking.

Ethereum's invention is the smart contract: code stored on the blockchain that executes automatically when its conditions are met. No intermediary, no paperwork, no office hours. Smart contracts became the foundation of decentralized finance (DeFi), NFTs, DAOs - most of what the world calls Web3 runs on Ethereum or on networks built to connect with it.

The road was not clean. In 2016, a major project called The DAO was hacked, and the community split the chain in two to reverse the theft - the origin of Ethereum Classic, and a permanent lesson: 'code is law' is easy to say until the code is exploited. In 2021, the EIP-1559 upgrade began burning a portion of every transaction fee, making ETH scarcer when the network is busy. And on September 15, 2022, The Merge replaced mining with staking, cutting the network's energy consumption by over 99%.

Bitcoin vs Ethereum, in one paragraph

Bitcoin is digital money first: a store of value with a fixed supply of 21 million. Ethereum is a platform for applications, and ETH has no fixed supply cap. In short: Bitcoin is digital gold; Ethereum is the digital economy built beside it. They are not really competitors - they answer different questions.

ETH - FACTS THAT MATTER

All-time high: \$4,946.05 on August 24, 2025 (CoinGecko)

Launched: July 30, 2015 - Proposed by Vitalik Buterin (2013)

Security model: proof of stake since The Merge (Sept 15, 2022)

Energy use cut by over 99% after The Merge

October 2026 snapshot: about \$2,485 (Oct 9 close) - roughly 50% below its ATH

TIMELINE - KEY EVENTS

- 2013** Ethereum whitepaper published
- 2014** Public crowdsale funds development
- 2015** Ethereum mainnet launches
- 2016** The DAO hack leads to a hard fork
- 2017** ERC-20 standard enables the ICO boom
- 2018** Ethereum becomes the foundation of DeFi
- 2020** Ethereum staking begins (ETH 2.0)

- 2021** EIP-1559 introduces the ETH fee burn
- 2022** The Merge - transition to proof of stake
- 2025** Ethereum deeply integrated into global finance and infrastructure
- Dec 2025** Fusaka upgrade: PeerDAS and expanded blob capacity for Layer 2s
- 2026** Ethereum Foundation roadmap: scaling, user experience, L1 hardening

ADA - Cardano

Peer Reviewed - the chain built like science

Cardano is what happened when one of Ethereum's co-founders walked away to do it 'properly'. Charles Hoskinson left Ethereum and built Cardano on a principle no other major blockchain follows: every major upgrade starts as a peer-reviewed academic paper, checked by scientists before a single line becomes protocol. Research began in 2015; the mainnet launched in 2017. Its currency, ADA, is named after Ada Lovelace, the 19th-century mathematician considered the first computer programmer.

Cardano rolls out in named eras, like chapters of a book: Shelley brought decentralization (2019-2020, with its Ouroboros proof-of-stake protocol fully deployed), Alonzo brought smart contracts (2021), Vasil improved scalability (2022), and Voltaire brought full on-chain governance (2024) - the point where the community itself votes on the treasury and the protocol's future. In 2026, that governance is visibly working: delegated representatives (DReps) approving treasury withdrawals, and the network's first on-chain financial audit.

Technically, Cardano keeps Bitcoin's accounting style - the extended UTXO model - rather than Ethereum's account model. Where Ethereum optimizes for network effects, Cardano optimizes for mathematical certainty. Neither is 'right'; they are different engineering philosophies, and this guide takes no side - except the side of understanding both.

Staking ADA, explained simply

ADA holders can delegate their coins to a stake pool and earn rewards for helping secure the network. Two details make Cardano staking unusual: there is no lock-up period, and your ADA never leaves your wallet. Rewards are paid every epoch - every 5 days. The rate varies with the pool and network conditions, and staking is not a guarantee of profit: rewards are paid in ADA, whose price moves like everything else in this market.

ADA - FACTS THAT MATTER

All-time high: \$3.09 on September 2, 2021 (CoinGecko)

Research began 2015 - Mainnet launched 2017

Founder: Charles Hoskinson (Ethereum co-founder)

Security model: proof of stake (Ouroboros) - staking with no lock-up

October 2026 snapshot: about \$0.24-0.26 - roughly 92% below its ATH

TIMELINE - KEY EVENTS

- | | |
|-------------|----------------------------------|
| 2015 | Cardano research begins |
| 2017 | Cardano mainnet launches |
| 2019 | Shelley era - decentralization |
| 2020 | Ouroboros fully deployed |
| 2021 | Alonzo upgrade - smart contracts |

2022 Vasil upgrade - scalability improvements
2024 Voltaire era - full on-chain governance
2025 Midnight privacy chain advances; Glacier Drop (NIGHT token)
2026 On-chain governance in action: voted treasury withdrawals, first audit
Sep 2026 Cardano Foundation joins Mastercard's Crypto Partner Program

SOL - Solana

Proof of History - time itself, verified

Bitcoin introduced scarcity. Ethereum introduced programmability. Solana, founded in 2017 and launched in March 2020, introduced time. Its core invention, Proof of History, is not a consensus mechanism - it is a cryptographic clock: a way for the network to prove the order and timing of events before validators even vote. Validators no longer waste time agreeing on what time it is. Time is already proven - and that single idea is what makes Solana fast.

Combined with parallel execution (Sealevel), a mempool-less design (Gulf Stream) and block propagation tricks (Turbine), Solana targets blockchain at internet speed and consumer scale - thousands of transactions per second at fees measured in fractions of a cent. In 2021, that speed made Solana the center of an explosive DeFi and NFT boom.

Then came the education nobody wanted. In 2022 the market crashed, the ecosystem was stress-tested to its foundations, and Solana was widely declared dead. Instead, 2023 became a hardening and rebuild phase, and 2024 brought a consumer-focused resurgence - mobile included. In 2025, U.S. spot Solana ETFs were approved and began trading, and its Seeker phone shipped with over 150,000 pre-orders across 57 countries. Whatever one thinks of Solana, its survival chapter is one of the most instructive in this guide: price collapse and network failure are not the same thing as a dead project - and telling the difference is a learnable skill.

SOL - FACTS THAT MATTER

All-time high: \$293.31 on January 19, 2025 (CoinGecko)

Founded 2017 - Mainnet launched March 2020

Core innovation: Proof of History (cryptographic clock)

Survived the 2022 crash and rebuilt through 2023-2024

October 2026 snapshot: about \$110 (Oct 9 close) - roughly 62% below its ATH

TIMELINE - KEY EVENTS

2017	Solana founded
2020	Mainnet launch
2021	Explosive DeFi and NFT growth
2022	Market crash and ecosystem stress
2023	Network hardening and rebuild phase
2024	Consumer focus, mobile, resurgence
2025	U.S. spot Solana ETFs approved and begin trading
2025	Seeker phone ships: 150,000+ pre-orders, 57 countries
2026	Record activity: 3.8 billion transactions in a single month

XRP - XRP Ledger

The Standard - payments first, speculation second

XRP is the oldest idea in this guide after Bitcoin itself. The XRP Ledger launched in 2012 - before Ethereum existed - with one job: move value across borders fast and cheap. A typical XRP payment settles in 3 to 5 seconds and costs a fraction of a cent. It was built for payments first, not speculation.

First, a distinction the whole industry gets wrong: XRP is not Ripple. XRP is the open, decentralized asset; the XRP Ledger is the public blockchain anyone can use; Ripple is a private company that builds payment software and uses XRP in some products. The ledger would keep running even if Ripple disappeared tomorrow. All 100 billion XRP were created at launch - there is no mining - and the supply only shrinks, because a tiny fraction of every transaction fee is permanently burned.

XRP's defining chapter is legal, not technical. In December 2020, the U.S. Securities and Exchange Commission sued Ripple, arguing XRP had been sold as an unregistered security. The case hung over the asset for years. In July 2023, a federal judge ruled that XRP itself is not a security, and the case fully ended in 2025 with a settlement - giving XRP the clearest legal status of any major altcoin in the United States. Institutional adoption resumed: seven spot XRP ETFs launched in the U.S. in 2025, and in 2026 Ripple's national trust bank charter became operational.

XRP - FACTS THAT MATTER

All-time high: \$3.65 on July 17, 2025 (CoinGecko)

XRP Ledger launched 2012 - supply: 100 billion XRP, all created at launch

Settlement: 3-5 seconds, fees of a fraction of a cent

July 2023: U.S. federal ruling - XRP itself is not a security

October 2026 snapshot: about \$1.41 (Oct 9 close) - roughly 61% below its ATH

TIMELINE - KEY EVENTS

- | | |
|-------------|---|
| 2012 | XRP Ledger launched |
| 2013 | Ripple Labs founded |
| 2017 | XRP enters the top 3 crypto assets |
| 2020 | SEC lawsuit filed (December) |
| 2023 | Court ruling: programmatic XRP sales are not securities |
| 2024 | Institutional adoption resumes |
| 2025 | Case ends in settlement; seven spot XRP ETFs launch in the U.S. |
| 2026 | Ripple's national trust bank charter operational (OCC) |
| 2026 | Token Escrow (XLS-85) live on mainnet; XRPL activity surges |

Reading a market without getting played

You now know the five stories. Here is the uncomfortable truth about their prices: in crypto, price is the loudest and least reliable signal there is. The Crypto Historian - CryptoT's own history guide - puts it this way: 'A price is just today's weather. I deal in the climate.' This chapter teaches the difference - at the level of ideas. The chapter right after it teaches the chart itself: candles, indicators and patterns, with real numbers.

Where the Power 5 stand (October 2026 snapshot)

These are closing prices from October 9, 2026, next to each coin's verified all-time high. Prices move constantly - by the time you read this, every number below is history. That is exactly the point of showing them:

Coin	Oct 9, 2026	All-time high	Below ATH
BTC	\$82,545	\$126,080 (Oct 2025)	-35%
ETH	\$2,485	\$4,946.05 (Aug 2025)	-50%
ADA	\$0.243	\$3.09 (Sep 2021)	-92%
SOL	\$110	\$293.31 (Jan 2025)	-62%
XRP	\$1.41	\$3.65 (Jul 2025)	-61%

Read it like an adult: every coin in this guide - including the 'boring' ones - has lost half or more of its peak value at some point, some for years. ADA sits 92% below a high set in 2021. That is not a prediction that it will return there, nor that it won't. It is proof that in this market, buying anything near a euphoric peak without understanding it has historically been an expensive education.

Five ideas that keep beginners out of trouble

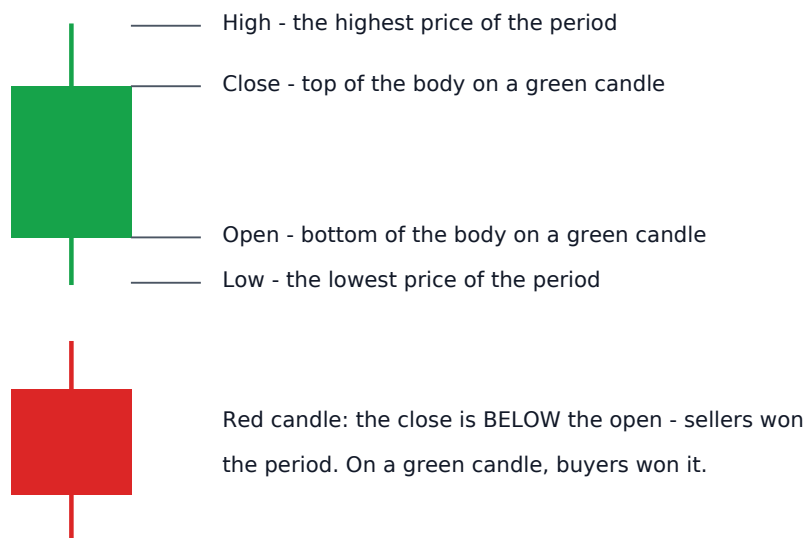
- Cycles are real, timing them is not. Markets move in booms and winters. Knowing winters exist beats trying to guess their dates.
- Support and resistance are just memory. Prices often pause where they paused before, because humans remember what they paid. Useful as context, useless as prophecy.
- News moves price for hours; fundamentals move it for years. A headline is weather. An upgrade, an ETF, a court ruling - climate.
- Green candles are not instructions. The urge to buy exactly when everything is pumping is the most expensive feeling in finance. It has a name: FOMO - fear of missing out.
- Your timeframe is your strategy. Checking prices hourly while claiming a 5-year horizon is how people sell the bottom and buy the top.

Technical analysis basics: how to read a chart

Everything before this chapter was about what these networks ARE. This chapter is about the other half of the craft: reading the record of what buyers and sellers actually did - the chart. Technical analysis (TA) is not prophecy and it is not magic. It is a vocabulary for describing price behaviour, built on one simple observation: markets are made of humans, humans repeat themselves, and their footprints form patterns. Learn the vocabulary here, in plain language. Then learn its limits - they matter just as much.

Candles: the alphabet

Every chart you will ever open is written in candles. One candle summarizes one period of time - a day, an hour, a week; you choose the timeframe. The thick part is the body: it runs from the opening price to the closing price. The thin lines above and below are the wicks: they show how high and how low the price travelled during that period. If the close is above the open, the candle is green and buyers won the period. If the close is below the open, it is red and sellers won.



- A long wick on top means price tried to climb and got pushed back - rejection.
- A long wick at the bottom means price fell and buyers pulled it back up - also rejection, the other way.
- Small bodies after a strong move mean hesitation. Big bodies mean conviction. Single candles are letters, not words - read them in context, never alone.

Trend: the first question

Before indicators, before patterns, ask the only question that matters first: which way is this going? There are three answers. An uptrend is a staircase going up: higher highs and higher lows. A downtrend is a staircase going down: lower highs and lower lows. A sideways market - a range - bounces between a floor and a ceiling without going anywhere. It sounds obvious, and yet most beginners never actually say it out loud before forming an opinion. Professionals

do, because fighting the main trend is the most reliable way beginners donate money to strangers: buying every dip in a downtrend is catching a falling staircase.

Support and resistance: the market's memory

Support is a price zone where buyers showed up in force before and stopped a fall - a floor. Resistance is the opposite: a zone where sellers pushed price back down before - a ceiling. Why do old levels matter? Because humans remember what they paid. People who bought at a peak and sat through a loss tend to sell the moment price returns to their entry - 'getting out even' - and that selling IS resistance. Levels are memory made visible. One more behaviour matters: when a ceiling finally breaks, it often becomes a floor (resistance turned support), because the same memory now works in reverse. And the biggest memory lines of all are the all-time highs in this guide's snapshot table - above them, there is no memory left at all, which is why breaks to new highs feel so explosive.

Volume: the fuel gauge

Volume is simply how much changed hands during a period. Price tells you where the market went; volume tells you how much conviction travelled with it. A breakout through resistance on expanding volume means real participation. The same move on thin, shrinking volume often fades - there was nobody home. Watch for the classic rhythm: volume dries up while price consolidates sideways, then expands when price finally leaves the zone. In Thomas Bulkowski's measurements (next section), volume trends downward inside chart patterns most of the time - about 78% of the time inside ascending triangles, and 74% to 77% of the time inside flags - and the expansion on the breakout is one of the signs a move deserves respect.

Moving averages, RSI and MACD - the three gauges

Moving averages: ceiling or trampoline

A moving average (MA) is the average closing price over the last N periods - the 50-day and 200-day are the classics. It smooths the noise into one clean line that lags behind price. Here is the mental image that makes moving averages click, the one experienced readers actually use: a moving average is either a ceiling or a floor, depending on where price stands. When price lives BELOW its moving average and keeps bouncing off it from underneath, the average is a ceiling - sellers defend it, rallies die against it. When price climbs ABOVE the average and starts bouncing on top of it, the same line becomes a floor - a trampoline buyers defend. Same line, opposite jobs. The meaningful event is not touching the line; it is crossing it and holding the other side, because that is the day the line changes jobs. Two famous crosses get their own names - the 'golden cross' (50-day rising above the 200-day) and the 'death cross' (the reverse) - remember that averages lag by construction: they confirm trends late, on purpose. They are rear-view mirrors that tell the truth slowly.

RSI: the speedometer, not the crystal ball

The Relative Strength Index (RSI) compresses recent gains versus recent losses into one number between 0 and 100. The traditional reading: above 70, a market is 'overbought' - it ran hard and fast; below 30, 'oversold' - it fell hard and fast. Now the part the screenshot gurus skip: overbought is not a sell signal and oversold is not a buy signal. In a powerful uptrend, RSI can sit above 70 for weeks while price keeps climbing; in a collapse it can hug the floor all the way down. RSI measures speed, like a speedometer. A speedometer tells you you're driving fast - it does not tell you when the road turns. Use RSI to describe momentum and to spot exhaustion building, never as a lone trigger.

MACD: the confirmation tool

The MACD compares two moving averages of price (a fast 12-period and a slow 26-period) and plots their difference against a smoothed 'signal' line. When the MACD line crosses above its signal line, short-term momentum is strengthening; below, it is weakening. The second reading is the territory: above the zero line, the fast average sits over the slow one - buyers hold the momentum trend; below zero, sellers do. Seasoned analysts use MACD with one discipline, and it is worth memorizing exactly: the MACD confirms, it does not predict. A crossover tells you momentum HAS shifted, after the fact - it is evidence, not a forecast. And timeframe is everything: a MACD cross on a monthly chart carries far more weight than one on an hourly chart, which is why serious readers check the big timeframes first and let the small ones whisper afterward.

Which timeframe? The top-down habit

Beginners pick one chart - usually a small, twitchy one - and read everything from it. Practised readers go top-down: start on the MONTHLY chart for the climate (what era is this asset in?),

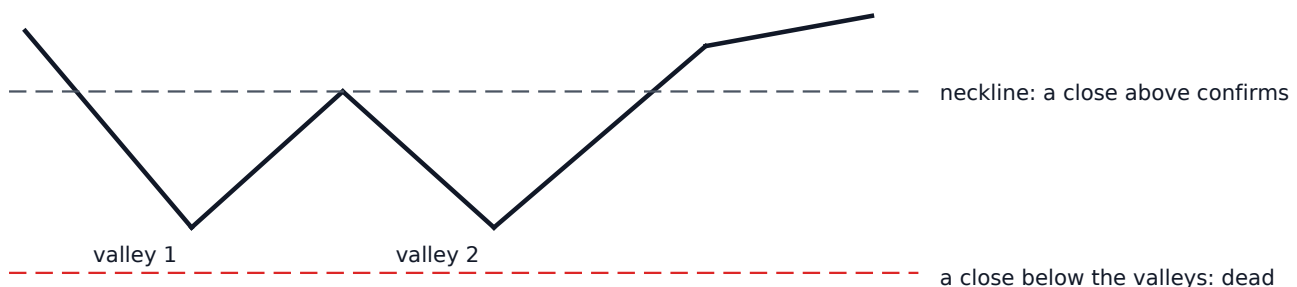
then the WEEKLY for the season (what is the current trend doing?), and only then the DAILY for today's weather. A signal that agrees across all three deserves more respect than any single-chart miracle. The rule of thumb: the bigger the timeframe, the fewer the lies per candle - and the more patience each decision requires. That trade is always worth it.

Chart patterns, measured - the Bulkowski method

Most pattern talk on the internet is astrology with better graphics. Thomas Bulkowski did something rare: he measured. On his site ThePatternSite.com and in his encyclopedias, he catalogued thousands of examples of each classic pattern on stock charts and recorded what actually happened next - average moves, failure rates, how often targets were met. The statistics quoted below are his published bull-market results, measured on U.S. stock charts (not crypto), and we cite them exactly as he reports them, sample sizes included. Crypto charts draw the same shapes with wilder swings, so treat his numbers as the best empirical baseline that exists - not as a promise about any crypto chart. Two definitions before we start. **CONFIRMATION:** a pattern means nothing until price closes through its trigger line - until then, as Bulkowski puts it, you have squiggles, not a pattern. **INVALIDATION:** the close that kills the idea - if price does that, the pattern is dead, whatever your hope says.

1. Double bottom - the W

SPOT IT: after a decline, price falls to a low, bounces at least about 10%, falls again to roughly the same low, and turns up. Two valleys, one peak between them - the letter W. **WHAT IT GENERALLY SIGNALS:** sellers attacked the same floor twice and failed twice; the level is defended. **CONFIRMATION:** a close above the peak between the two valleys. **THE MEASURED RECORD:** the rounded 'Eve & Eve' version ranks 5th out of 39 patterns in Bulkowski's research, with a break-even failure rate of 12% and an average rise of 50% after confirmation (952 patterns measured). **INVALIDATION:** a close below the lower valley - the floor broke, story over.



2. Double top - the M

SPOT IT: the mirror image - after a rise, two peaks at roughly the same price with a valley between them. **WHAT IT GENERALLY SIGNALS:** buyers pushed at the same ceiling twice and were rejected twice; distribution - quiet selling into strength. **CONFIRMATION:** a close below the valley between the peaks. **THE MEASURED RECORD:** 'Eve & Eve' double tops rank 12th of 36 bearish patterns, break-even failure rate 20%, average decline 16% after confirmation (942 patterns measured). **INVALIDATION:** a close back above the higher peak - the ceiling was not a ceiling after all.

3. Ascending triangle

SPOT IT: a flat ceiling - price keeps hitting the same resistance - while the dips get shallower: a rising floor underneath. Buyers are bidding higher each time while sellers defend one fixed line. WHAT IT GENERALLY SIGNALS: pressure building against a ceiling; in Bulkowski's data the breakout goes upward 63% of the time. CONFIRMATION: a close above the flat resistance, ideally on expanding volume (volume typically shrinks inside the triangle first - about 78% of the time). THE MEASURED RECORD: average rise of 43% after upward breakouts, break-even failure rate 17% (more than 1,400 patterns measured). INVALIDATION: a close below the rising support line - or a 'breakout' that falls back inside and closes there: the pressure story failed.

4. Bull flag - the honest warning

SPOT IT: a near-vertical run-up (the pole), then a short, tight drift slightly down or sideways for days, on visibly shrinking volume - a flag on the pole. WHAT IT GENERALLY SIGNALS: a pause, not a reversal - the move catching its breath. Breakouts go upward about 60% of the time in Bulkowski's data. THE MEASURED RECORD - and this is why we teach it: ordinary flags are WEAK. Their break-even failure rate is about 44%, and the average short-term follow-through is small. The respected variant is the tight flag - especially after a very steep pole ('high, tight flags' are a separate, stronger category in his work). The lesson is bigger than the pattern: some famous patterns barely earn their fame, and statistics are how you find out which. INVALIDATION: a close below the flag's lower edge - and if the 'flag' drags on beyond about three weeks, it was never a flag; it is a range.

5. Head and shoulders - the top

SPOT IT: three peaks, the middle one clearly highest - a left shoulder, a head, a right shoulder - with a 'neckline' drawn through the two dips between them. WHAT IT GENERALLY SIGNALS: an uptrend exhausting itself; the right shoulder is the rally that could not beat the head. CONFIRMATION: a close below the neckline. THE MEASURED RECORD: head-and-shoulders tops rank 9th of 36, break-even failure rate 19%, average decline 16% after the neckline breaks (more than 2,800 patterns measured - his largest sample of the five). INVALIDATION: a close back above the right shoulder, and decisively above the head - the 'exhaustion' was a lie.

THE GOLDEN RULE OF PATTERNS

A pattern is a probability, never a promise. Every statistic in this chapter describes a crowd of thousands of charts - not the one in front of you. Confirmation first, invalidation written down, and only then an opinion.

Notice the professional habit hidden in every entry above: the invalidation is named BEFORE anyone acts on the signal. Chart reading, done honestly, is mostly the discipline of knowing exactly what would prove you wrong - and believing the chart when it does.

The five patterns on one page - cheat sheet

Pattern name, trigger, kill-switch, track record - one block per pattern. (Failure rates and

averages: Bulkowski's published bull-market results on stock charts, thepatternsite.com.)

DOUBLE BOTTOM (W)

Confirms on: a close above the peak between the valleys. Invalidated by: a close below the lower valley. Record: rank 5 of 39 - break-even failure 12% - average rise 50% (952 measured).

DOUBLE TOP (M)

Confirms on: a close below the valley between the peaks. Invalidated by: a close above the higher peak. Record: rank 12 of 36 - break-even failure 20% - average decline 16% (942 measured).

ASCENDING TRIANGLE

Confirms on: a close above the flat resistance. Invalidated by: a close below the rising support. Record: average rise 43% - break-even failure 17% - breaks upward 63% of the time (1,400+ measured).

BULL FLAG

Confirms on: a close above the flag's upper edge. Invalidated by: a close below its lower edge. Record: break-even failure about 44% - the weak one of the five; tight flags only.

HEAD & SHOULDERS TOP

Confirms on: a close below the neckline. Invalidated by: a close above the right shoulder, decisively above the head. Record: rank 9 of 36 - break-even failure 19% - average decline 16% (2,800+ measured).

Tape this page to the inside of your brain: pattern name, trigger, kill-switch, track record. Everything else in this chapter is commentary on these five lines.

Five ways charts lie to beginners

- The repainting miracle: some indicators quietly rewrite their past signals on historical charts. If a tool looks perfect in hindsight, ask what it showed in real time.
- The cherry-picked timeframe: any chart can look bullish or bearish if you zoom until it agrees with you. Decide your timeframe BEFORE you look - and check the one above it.
- Pattern pareidolia: the human brain sees faces in clouds and double bottoms in noise. No confirmation close, no pattern - the squiggle rule protects you from your own imagination.
- The screenshot guru: a stranger's winning chart never shows the nine losing ones, the fees, or the position size. Track records you cannot audit are marketing.
- Wick illusions on tiny timeframes: on a 1-minute chart in a thin market, one market order draws a 'dramatic' candle. Beginners learn on daily charts because that's where the real money leaves its footprints.

Worked examples: putting it together

Knowledge becomes a skill when you watch it work on real numbers. Three exercises follow - a full chart read, a piece of arithmetic every beginner should do once by hand, and a scam taken apart line by line. Every price used here is a verified figure already in this guide.

Example 1 - Read a chart in five steps (ADA, October 2026)

The setup: Cardano's ADA closed at about \$0.243 on October 9, 2026. Its verified all-time high is \$3.09, from September 2, 2021. Open any daily ADA chart and work the five steps.

STEP 1 - Name the timeframe and the trend

Daily chart, zoomed out to the full history. Say it out loud: the long-term trend since the 2021 peak is DOWN - a staircase of lower highs and lower lows, with recoveries inside it. A downtrend is not a buy signal or a sell signal. It is context: it tells you which surprises are normal here (sharp rallies that fade) and which would be news (a structure that stops making lower lows).

STEP 2 - Place the price inside its history

Do the division: \$0.243 is about 7.9% of \$3.09 - the price sits roughly 92% below its all-time high. In plain words, the asset has already had the catastrophic fall beginners fear. That is a fact about the past. It says nothing - nothing - about whether the bottom is in. 'It fell a lot' is a description, not an analysis.

STEP 3 - Mark the market's memory lines

Resistance overhead: the old peaks between here and \$3.09, in layers - every one of them is a zone where trapped buyers once promised themselves they would sell 'if it ever comes back'. Support below: the most recent swing lows on your chart, where declines last stopped. Until price reclaims some of those overhead layers and holds them as floors, they remain ceilings. Mark them with lines, not vibes.

STEP 4 - Check the gauges

Moving averages first: is price above or below its 200-day average, and is the average a ceiling or a trampoline right now (previous chapter)? After long declines, price typically lives under it in ceiling mode until it proves otherwise. Then momentum: are RSI and MACD rising from washed-out lows, or rolling over after each bounce? You are not looking for a green light. You are building an honest weather report.

STEP 5 - Write the invalidation before the opinion

Example wording: 'Any bottoming story about ADA is wrong while it closes below its most recent swing low, and no double bottom exists until a close above the peak between two valleys - see the pattern chapter.' Now the read writes itself: long-term downtrend, deep drawdown, no confirmed reversal pattern - the honest output is 'watchlist and education', not a prediction. Notice what this process never produced: a price target, a date, or a command. That restraint IS the skill.

Example 2 - The recovery math (do this once, remember it forever)

Losses and gains are not symmetric. A loss of 50% is not undone by a gain of 50% - it needs

100%. The deeper the hole, the more brutal the climb, and the table below is the whole argument for the risk chapter in one glance:

If price falls by...	It must then gain...
-10%	+11%
-20%	+25%
-33%	+50%
-50%	+100%
-75%	+300%
-90%	+900%
ADA: -92% (\$3.09 to \$0.243)	about +1,170%

Read the last row twice. For ADA to revisit its 2021 high from the October 2026 close, it would need to multiply by roughly 12.7 - a gain of about 1,170%. Maybe it happens one day; maybe it never does. Either way, the investor who bought the euphoric top in 2021 needed a miracle, while the one who buys quietly needs only math. Same asset, different entry, different universe. Protecting capital is not cowardice - it is arithmetic.

Example 3 - Dissect a scam in sixty seconds

Here is a message that lands in beginner inboxes every day, in a hundred costumes. Take it apart:

'CONGRATULATIONS! You were selected in the Official Giveaway. Send 0.05 BTC to the verification address below to unlock your 0.5 BTC prize. Offer expires in 1 HOUR. - Support Team'

- You entered nothing. There was no draw, no selection, no prize. Surprise winnings that find YOU are bait, 100% of the time.
- 'Send to receive' is the entire scam in three words. Legitimate prizes never require a payment to unlock. The 0.05 BTC is the product; the 0.5 BTC is the poster.
- The one-hour countdown is pressure, straight from the risk chapter's red-flag list. Real opportunities survive a night of sleep; scams can't risk you thinking.
- The 'Support Team' signature and familiar branding prove nothing - accounts get copied and hacked daily, and no real team DMs you first.

Total damage for the reader who runs the checklist: zero, and sixty seconds well spent. The same four questions - did I enter this? am I being asked to send to receive? is there a countdown? who actually contacted whom? - dismantle nearly every crypto scam ever written.

Risk: how people actually lose money

Almost nobody in crypto loses money because 'the technology failed'. They lose it in four predictable ways. Learn them now, cheaply, on paper.

1. Leverage

Leverage means borrowing to trade bigger than your money. A 10x position is wiped out by a 10% move against you - in a market where 10% days are routine. Exchanges profit from liquidations; the graveyard of beginner accounts is paved with 'it almost worked'. Spot ownership can fall 50% and recover. A liquidated account recovers never. If you take one sentence from this guide: beginners and leverage do not mix.

2. FOMO and the top of the cycle

When your group chat, your feed and your barber all talk about one coin in the same week, you are not early - you are the exit liquidity for people who bought quietly a year earlier. The antidote is boring: fixed amounts, fixed schedule, amounts you can watch fall 50% without touching them. Discipline is a strategy; adrenaline is not.

3. Scams - the red flags

- 'Send 1, get 2 back.' Always fake. No exceptions, no matter whose face or verified account promotes it.
- Guaranteed returns, 'AI trading bots' with monthly percentages. Guaranteed = lying.
- DMs from 'support', 'admins' or celebrities. Real teams never DM you first, and nobody legitimate will ever ask for your seed phrase. Ever.
- Pressure and countdowns. 'Only 2 hours left' is a sales trick, not an investment thesis.
- New tokens with no network, no code, no history - sold on pure story. Re-read the primer chapter and ask the questions.

4. Money you need

Rent money, grocery money, borrowed money: none of it belongs in any volatile asset. The final rule of risk is a life rule, not a market rule - invest only what you can afford to lose completely, and keep records of everything: in most countries, crypto trades are taxable events, and 'I forgot' is not a filing strategy.

The most expensive beginner mistakes

The risk chapter explained the mechanisms. This one is the highlight reel - the eight ways beginners actually pay their tuition, roughly in order of cost. Every one of them has been paid, in full, by people smarter than their group chat. The good news: tuition is optional. This page is the receipt for lessons other people already bought.

1. Buying because everyone is suddenly talking about it

When the group chat, the feed and the barber all discover the same coin in the same week, you are not early - you are the exit for people who bought quietly a year ago. This is the top-of-cycle special, and the recovery-math table in the worked examples is its price list. Attention is a lagging indicator; by the time it's loud, it's late.

2. Using leverage 'just this once'

Chapter on risk, exhibit A. A small borrowed position, a routine 10% day, a liquidation notice, and an account that can never recover because there is nothing left to recover with. 'Just this once' is how it always starts, and the market does not grade on intentions.

3. Photographing the seed phrase

One screenshot, one cloud backup you forgot was on, one compromised account - and a stranger somewhere restores your wallet and empties it, forever, with no chargeback and no support desk. The seed phrase rules in the security chapter exist because this exact story has ended thousands of wallets.

4. Living on one exchange forever

Exchanges are businesses, and businesses fail, freeze and get hacked. Keeping a small trading float on a reputable platform is one thing; keeping your entire position there for years because moving it felt like homework is counterparty risk you chose. Not your keys, not your coins is arithmetic, not paranoia.

5. Answering the DM

The 'support agent', the 'admin', the celebrity with a giveaway - all costumes on the same actor. Real teams never DM you first. Every conversation that starts in your inbox and ends near your wallet is a theft in progress, conducted politely.

6. Going all-in on one story

One coin, one narrative, everything on it. Concentration means a single failure - a hack, a lawsuit, a broken promise - is a total failure. Even great projects draw down 50-90% (re-read the snapshot table). Position size is what lets you be wrong and stay in the game.

7. Panic-selling the bottom, buying back the top

Without a written plan, your emotions trade for you: terror at the bottom sells, euphoria at the top buys, and the spread between the two becomes someone else's profit. A boring written

rule - amounts, schedule, invalidation - is not a constraint on your genius. It is a seatbelt for your worst day.

8. Keeping no records

No dates, no amounts, no platform notes - then tax season arrives and 'I think I made money?' meets a filing deadline. In most countries crypto trades are taxable events. Records take thirty seconds per trade and are impossible to reconstruct a year later. This is the cheapest mistake to avoid and the most annoying to pay for.

Before you buy anything: the 10-point check

This is a process, not a recommendation - the ten questions a careful person answers BEFORE any purchase, in any market. Nothing here tells you whether to buy. It tells you whether you understand what you are looking at. If a box stays empty, that is information: you are not missing an opportunity, you are missing the homework. Opportunities are infinite; capital is not.

- ☐ I can explain, in two plain sentences, what this asset IS and what its network actually does - without using the words 'revolutionary' or 'the future'.
- ☐ I found it through sources I bookmarked myself. Not a DM, not a screenshot, not a stranger's hype post, not a countdown.
- ☐ I know which network it lives on, its total supply, and whether more can be created - and by whom.
- ☐ I checked where it really trades and that real liquidity exists: people can sell this thing, not just buy it.
- ☐ I know its all-time high and roughly where today's price sits against that high - and I did the recovery math before admiring the 'discount'.
- ☐ My wallet security homework is DONE first: seed phrase on paper, offline, recovery understood - before any serious amount moves.
- ☐ The amount is money I can watch fall 50% - or to zero - without touching rent, food, debt payments or sleep.
- ☐ No leverage. No borrowed money. No exceptions I negotiate with myself at midnight.
- ☐ The record exists from minute one: date, amount, price, platform - in a file I will still have at tax time.
- ☐ I slept on it. If the opportunity cannot survive one night of sleep, it was pressure wearing a costume.

THE POINT OF THE TEN BOXES

Nobody who runs this list slowly gets scammed quickly, buys a top in a panic, or wakes up owning something they cannot explain. The checklist is the strategy.

Wallet security: keep your coins yours

'Not your keys, not your coins' is not a slogan; it's accounting. If a platform holds your keys, you hold a promise. Promises have defaulted before. Here is the checklist this guide exists to make permanent:

The seed phrase rules

- Your seed phrase (12-24 words) IS the wallet. Anyone with it has everything, from anywhere, forever.
- Write it on paper (or metal). Never type it into a website, never store it in a photo, a note app, an email, or cloud storage.
- No legitimate service, wallet, exchange or human will EVER ask for it. A request for your seed phrase is an attack, 100% of the time.
- Store the backup offline, somewhere only you can reach. Consider a second copy in a second secure location.

Daily habits

- Use a hardware wallet for serious amounts: keys stay on the device, never on your computer.
- Turn on two-factor authentication everywhere - an authenticator app, not SMS when you can avoid it.
- Bookmark the real sites. Phishing copies of exchanges and wallets harvest more beginners than hackers do.
- Test every new address with a small transfer first. A wrong network or a mistyped address can be irreversible.
- Check what you sign. Smart-contract approvals can grant spending rights - if you don't understand a signature request, don't sign it.
- Keep software updated, and treat 'urgent' pop-ups about your wallet as hostile until proven otherwise.

IF YOU REMEMBER NOTHING ELSE

Seed phrase: paper, offline, never shared, never typed anywhere.

Leverage: not for beginners. FOMO: a feeling, not a signal.

Money you need for life: never in the market.

Your first 90 days: a learning plan

Read carefully: this is a LEARNING plan, not an investment plan. It never tells you to buy anything, and by design almost all of it happens away from any buy button - reading, drilling, and practising on history with paper and a notebook. Ninety days of this will put you ahead of most market participants, because most market participants never did any of it.

Days 1-30 - Foundations

- Read the five coin chapters, one per week with room to breathe. After each, close the guide and explain the network out loud in two sentences, like you're teaching a friend. If you can't, reread - teaching is the test.
- Start the learning journal: one page per session, dated. Future you will thank present you; this journal becomes your pattern-spotting diary in phase two.
- Spend ten minutes a day with ONE chart - Bitcoin's daily. No indicators yet. Just name the trend out loud and mark the obvious floors and ceilings. Thirty days of this and your eye starts working on its own.
- Memorize the seed phrase rules and the scam red flags until they're boring. Boring is what protection feels like.

Days 31-60 - Tools and drills

- Create a personal wallet - EMPTY - and practise the full cycle: write the seed phrase on paper, delete the app, restore the wallet from the paper alone. Repeat until it's easy. You just learned the most important mechanic in crypto with exactly zero dollars at risk.
- Add the gauges one at a time: first the 50- and 200-day moving averages (ceiling or trampoline?), then RSI, then MACD. For each, scroll BACK through Bitcoin's history - find the 2021 peak and watch what each gauge did there.
- Once a week, run the five-step chart read from the worked examples on one Power 5 coin and WRITE IT DOWN, invalidation included. Date it. You are building a track record of reads to grade later - that's how analysts are made.

Days 61-90 - Pattern hunting and the final exam

- Go hunting in history: find one real double bottom and one real ascending triangle on old charts. For each, check what happened after confirmation - and after the failures, too. Patterns are probabilities; watch both branches happen.
- Redo the recovery-math table from memory, then check yourself. If the numbers still surprise you, the lesson isn't in yet.
- Run the full 10-point check as a DRY RUN on a coin you have decided NOT to buy. The checklist should work with zero temptation involved - that's how you know it's yours before it ever matters.
- Final exam, day 90: teach the whole guide in five minutes, out loud - the five networks, the three gauges, one pattern with its invalidation, the recovery math, the seed phrase rules. Whatever you stumble on is your reading list for the next 90 days.

And then? The market will still be there on day 91. It always is. You'll meet it with something most participants never bring: an actual education.

Mini-glossary

ATH	All-time high - the highest price an asset has ever traded at.
Bear / bull market	Bear: a sustained period of falling prices. Bull: the opposite. Named for how the animals attack - bear swipes down, bull thrusts up.
Blockchain	A shared, append-only public record maintained by a network of computers.
Breakout	A close through a watched level - resistance, a neckline, a pattern edge. The trigger that confirms (or kills) a chart story.
Candlestick	One period of trading drawn as body + wicks: open, high, low, close in a single glyph.
Confirmation	The close that validates a pattern or level. Before it, you have squiggles, not a signal.
Drawdown	The fall from a peak to a later low, in percent. A -92% drawdown needs about +1,170% to recover.
Fiat	Government-issued money - dollars, euros - as opposed to crypto assets.
FOMO	Fear of missing out. The urge to buy because price is rising and everyone is talking. The most expensive feeling in finance.
Halving	Bitcoin's programmed ~4-year event cutting new BTC issuance in half.
Invalidation	The price action that proves an idea wrong - decided in advance, respected without negotiation.
Leverage	Borrowed size. Amplifies gains and losses; ends in liquidation when it goes wrong.
Liquidity	How easily something can be bought or sold without moving its price.
MACD	A momentum gauge comparing two moving averages. Confirms shifts after they start; above/below its zero line marks momentum territory.
Market cap	Price multiplied by supply. The size measure that lets you compare assets honestly instead of by price alone.
Moving average	The average closing price over the last N periods. Acts as ceiling when price is below it, floor (trampoline) when price is above.
Paper trading	Practising with imaginary money and real charts. All of the lessons, none of the tuition.
Proof of work	Security by computation: miners spend energy to add blocks (Bitcoin).
Proof of stake	Security by ownership: validators lock coins to add blocks (Ethereum, Cardano, Solana).
Resistance	A price zone where sellers pushed price down before - a ceiling made of other people's memory.
RSI	Relative Strength Index, 0-100: a momentum speedometer. Traditionally 'overbought' above 70, 'oversold' below 30 - a description, not a trigger.

Seed phrase	12-24 words that back up a wallet's keys. Whoever has it, has the funds.
Smart contract	Code on a blockchain that executes automatically when conditions are met.
Spot	Buying the asset itself, at the current price - no borrowing, no expiry.
Staking	Locking or delegating coins to help secure a proof-of-stake network, for rewards.
Support	A price zone where buyers stopped a fall before - a floor, until it breaks and becomes resistance.
Trend	The market's current direction: up (higher highs/lows), down (lower highs/lows), or sideways (a range). The first question of any chart read.
Volatility	How violently a price moves. In crypto: assume extreme, plan accordingly.
Volume	How much changed hands in a period. The fuel gauge: conviction shows up here first.

Never quit learning

You now know more about these five networks than most people who own them. That was the entire point. The market will keep moving - new upgrades, new rulings, new winters, new manias. The people who survive it are not the ones who predicted it. They are the ones who understood what they held, sized their risk like adults, kept their keys safe, and kept learning.

CryptoT publishes the story of these five networks every day - videos, timelines and the Crypto Historian, who answers questions about crypto history on cryptotot.shop. When you're ready to wear the signal, the shop is there too. No rush. The learning comes first - it always did.

- CryptoT, Montreal

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